EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

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CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on four motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: §3 exclusivity — 90-day window begins on board approval (May 2025 AAA)
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
Motion 4: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)

Where SSLC Stands Today

$590K

Cash at 10/11

One IM payment 10/7

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $789,572	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
FY27 YTD net income (10/11)	**+$112,666**
Total equity (10/11/2026)	**−$1,443,882**

WHAT SSLC OWES (10/11/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%; stands)	**$31,200 (~$38K+int)**
Total liabilities (10/11)	**$1,296,521**

OPEN ITEMS (Exos assessment pending reconciliation via Motion 2)

"Billed-ahead" balance: $942,177 booked as of 10/11. Exos's assessment: overstated — SSLC bills IM ~40% at tank start; those start-billings appear not cleared at shipment. Est. ~$100–200K genuinely in progress. Reconciliation requested via Motion 2. | Facility costs since Jan 2024: ~$805K (rent $725K + other; doubled to ~$23.6K/mo Jul 2024). Never charged back to Microcosm on SSLC's books.

per SSLC QuickBooks 10/11/2026; Exos billed-ahead assessment pending reconciliation

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K (High)	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

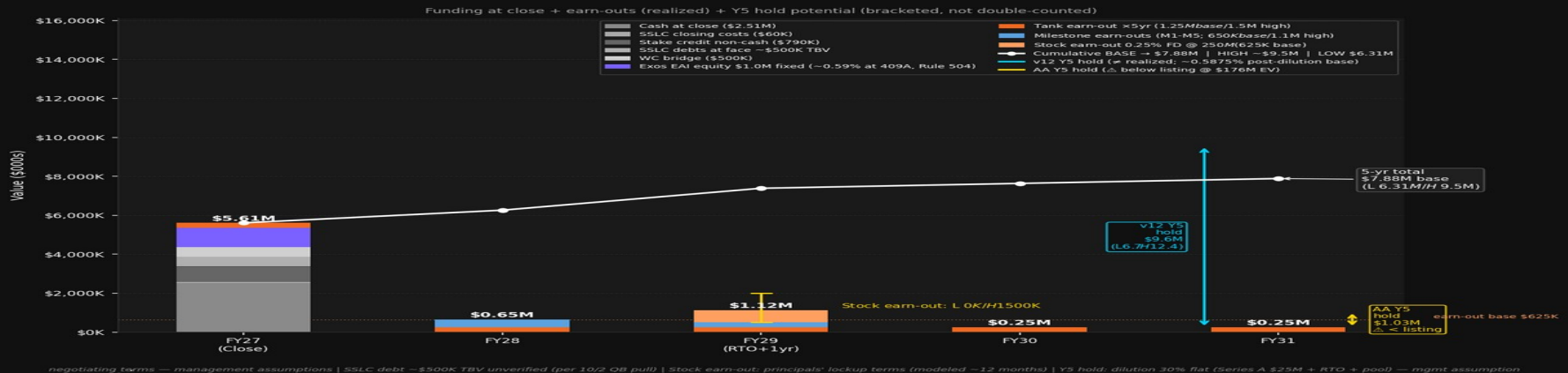
③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.



negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

One decision today: confirm §3 exclusivity → 90 days → financing close target Feb 15th

Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

Cash to Shareholders at Close

Exos cash purchase price	+$2,510,000
+ SSLC cash at close (est.; $590K on 10/11)	*+$675,000*
Subtotal inflows	**$3,185,000**
− SSLC loans & notes	($1,027,783)
Microcosm $451K · Bookstore $321K · EIDL $132K · Wertz $92.5K · Exos $31.2K+int	
− Other current liabilities (AP, accruals)	($148,738)
− Customer deposits (IM, transferred)	($120,000)
− Billed-ahead work, genuine (Exos est.)	($250,000)
− 5% escrow holdback (released 12 months)	($125,500)
Net cash distributable at close	**~$1.51M**
+ Exos stock (EAI units, Rule 504, 409A)	+$1,000,000
+ Escrow release at 12 months	+$126,000
+ Earn-outs base case (FY27–FY31)	+$2,525,000
~5-year total to SSLC shareholders	**~$5.16M**

What Shareholders Paid In vs. Will Receive

PAID-IN CAPITAL (per SSLC books)

Common stock	$1,010,423
Additional paid-in capital (APIC)	$4,042
Total paid-in capital	**$1,014,465**

Exos: $790,000 for 18.06% — recognized via $790K stake credit in price

All other holders: ~$224,000 combined for 81.94%

Invested largely 25+ years ago (per John Quinn; to be confirmed in the stock ledger).
Exos's $790K was invested 2021–2024 to keep SSLC operating.

PROJECTED RETURN (OTHER HOLDERS, 81.94%)

Cash + stock at close (est.)	~$2.5M
Total over 5 years incl. earn-outs	~$5.2M
Implied return on invested capital	**11× at close / 23× over 5 yrs**

Framed as: holders who invested ~$224K receive a strong return.
Exos's 18.06% is absorbed in the $790K credit — no extra cash from Exos for its own stake.

Note: insiders receive ~$544K debt repayment at close ahead of equity distributions (Microcosm $451K + Wertz $93K + Exos $39K with interest).

Why We Need the Stock Ledger (Motion 2)

- SSLC's books carry paid-in capital only as one total ($1,014,465); per-holder amounts, share counts, and dates and amounts of each holder's investment are not on the books.
- GL shows a 7/24/2024 conversion of a $30K Exos loan into 5,464 shares that must be reconciled to the $790K stake credit.
- ~$544K of insider debt is repaid at close ahead of equity distributions; the 81.94% split can't be validated without the stock ledger, cap table and subscription agreements.

Projection on current SSLC books (10/11/2026) and Exos estimates; not a guarantee. Billed-ahead balance under reconciliation (Motion 3). Low/high: net cash $1.28M–$1.74M; 5-yr total $3.4M–$7.0M.

Board Motions

1 Confirm §3 Exclusivity (May 2025 Asset Acquisition Agreement)

Approve a 90-day exclusivity period beginning on the date of this approval.
Extension not unreasonably withheld (per §3). Allows both parties to proceed to diligence, definitive agreement, and financing close (target: Feb 15th, 2027).

☐ Approve
☐ Decline

2 Grant Full Read-Only QuickBooks Online Access for Diligence

Authorize an all-access or accountant user for John Quinn and one Exos finance reviewer.
Purpose: reconcile the $942K "billed-ahead" balance and shared-facility costs before close.
Basis: Cal. Corp. Code §1602 director inspection right + AAA §4 confirmatory diligence.
Also provide: stock ledger, cap table, subscription agreements, and paid-in capital by shareholder (books: $1,014,465 total paid-in; need per-holder to compare payout vs. invested).
Confidential under the 7/27/2021 NDA. Access to be granted no later than October 15, 2026.

☐ Approve
☐ Decline

3 Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days

Direct A La Carte Solutions (bookkeeper) + Singer Lewak / Welch & Co. to reconcile and correct:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Deposits ($120,000) within 5 days of approval.
- Clear start-billings on completed/shipped tanks; post missing Jul–Sep 2026 rev-rec entries.
- Tank-by-tank reconciliation (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

☐ Approve
☐ Decline

4 Consent to ERP/MRP & Inventory Evaluation (Separate Motion)

Authorize Exos to use the same QB data to evaluate its in-house ERP/MRP and inventory systems for the combined operation. Confidential under the NDA.
Does not create any obligation to implement; evaluation only.

☐ Approve
☐ Decline

Governance: John Quinn abstains on all motions as an interested director; motions are decided by the disinterested directors.

Path to Close

1. **Board Votes — Four Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked to vote on Motions 1–4. Questions and open items welcome.